

Voluntary Report – Voluntary - Public Distribution

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Report Name: A Minimum Support Price Hike for Rabi Crops for Marketing Year 2024 to 2025

Country: India

Post: New Delhi

Report Category: Oilseeds and Products

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Report Highlights:

On October 18, 2023, the Cabinet Committee on Economic Affairs (CCEA) approved an increase in the minimum support price (MSP) for Rabi oilseed crops for marketing year 2024-25 ahead of the parliamentary election in 2024. Additionally, the Ministry of Agriculture and Farmers Welfare released the final crop production estimates for 2022/23 including production estimates for oilseeds.

DISCLAIMER: The information contained in this report is retrieved from Cabinet Committee on Economic Affairs and the Ministry of Agriculture and Farmers Welfare. The Foreign Agricultural Service (FAS), Office of Agricultural Affairs at the U.S. Embassy in New Delhi, USDA and/or the U.S. government make no claim of accuracy or authenticity. The Government of India has not officially endorsed this report. Price changes for any product are subject to market trend, production, government price support and regulations as interpreted by Indian officials during the crop year. [Note: Use Google Chrome to access the links that do not open in Microsoft Edge. Indian government host sites will geo-block site access on a rolling basis].

Minimum Support Price hike for *Rabi* crops

On October 18, 2023, the Cabinet Committee on Economic Affairs increased the minimum support price (MSP) for *Rabi*¹ crops in 2024-25 which include wheat, barley, gram, lentil, rapeseed-mustard and safflower. The new MSP will be effective from October to March.² The MSP for rapeseed-mustard increased by 3.6 percent from INR 5450/quintal (USD \$ 66.4/quintal) to INR 5650/quintal (USD \$ 68.9/quintal). The MSP for safflower increased by 2.6 percent from INR 5650/quintal (USD \$68.9/quintal) to INR 5800/quintal (USD \$ 70.7/quintal).

The MSP hike for rapeseed-mustard jumped by 98 percent and 52 percent for safflower. This is in accordance with the 2018/19 budget by the Indian government where the MSPs for *Khari*³ and *Rabi* crops were announced at a level 1.5 times higher than the total weighted average cost of production sustained by the farmers.⁴

To improve food self-sufficiency and raise farmers' incomes, the government is encouraging crop diversification towards oilseeds/pulses/millet through initiatives like the National Food Security Mission, and the National Mission on Oilseeds and Oil Palm. As the food prices are inflated presently, MSP will guarantee remunerative pricing for the farmers and boost crop diversification.

Release of oilseed crop production estimate for 2022/23

On October 18, 2023, the Ministry of Agriculture and Farmers Welfare released the final production estimate (2022/23) of major crops including total oilseed production at 41.3 million metric tons (MMT).⁵ Groundnuts are estimated at 10.3 MMT, soybeans at 14.9 MMT, and rapeseed-mustard at 12.6 MMT, contrary to the United State Department of Agriculture official estimates of 7 MMT, 12.4 MMT and 11.8 MMT respectively.⁶

¹Rabi crops are sown in winter and harvested in the spring in India.

²"Cabinet approves Minimum Support Prices (MSP) for Rabi Crops for Marketing Season 2024-25, Press Information Bureau, Release Id: [1968729](#).

³Kharif crops are cultivated and harvested during the monsoon season.

⁴See: [Budget 2018-2019](#), Minister of Finance.

⁵"Final estimates of production of major crops released for the year 2022-23", Press Information Bureau, Release Id: [1968931](#)

⁶ See: USDA GAIN "Oilseeds and Products Update", [IN2023-0048](#).

New Memorandum of Understanding (MOU) between India and Brazil Oilseed Industry Groups

On November 6, 2023, the Solvent Extractors' Association of India (SEA) and the Brazilian Association of Vegetable Oil Industries (ABIOVE) signed a memorandum of understanding (MOU) for soybean oil supply to India to encourage technological collaboration between the two organizations in oil meals and edible vegetable oils and to maximize crop yields through the trade of oilseed planting equipment and material.⁷

Attachments:

No Attachments.

⁷ "SEA inks pact with Brazilian body for cooperation in soya oil supply to India", [Business Line](#)